GE VERNOVA INC.

NYSE: GEV | Gas turbines, grid equipment and wind turbines | Cambridge, Massachusetts

Tommy Lau | 9 October 2026 | Initiation of coverage | Independent research

INITIATE AT NO CALL	**Target price:** None (no call)	**Last price:** US$999.35 (NYSE close, 8 October 2026)	**Upside:** Base value US$1,048 (+5%)

GE Vernova's queue is real and its customers are paying for it. At US$999, the shares already pay for the 2028 plan.

GE Vernova builds the large gas turbines that power stations, and now AI campuses, run on, plus grid equipment and wind turbines. My piece of 9 October argued that the long wait for its turbines is a choice its customers pay for: deposits hold factory slots for 2030 and 2031, and the money stretches the factories it already has rather than building new ones.

The filings support the claim. At the end of June GE Vernova had 116 gigawatts under contract, almost six years of its 20 gigawatt annual output, and US$27.7bn of customer deposits sat in its Power segment, up 67% in six months. But the same choice caps gas turbine volume to 2028, and the higher prices signed this year mostly ship from 2029. At US$999.35 the shares trade at 23 times the adjusted EBITDA GE Vernova expects by 2028; at 24 times, the price needs 96% of that outlook.

My call: NO CALL, medium conviction. My base case is worth US$1,048, up 5%, inside a range of US$560 (down 44%) to US$1,529 (up 53%). I would revisit below about US$910, or if GE Vernova lifts its 2028 outlook above US$60bn at a 20% margin.

Stock data

LAST PRICE
US$999.35, NYSE close 8 October 2026; highest close US$1,174.86 (30 Jun 2026); intraday high US$1,195.94 (6 Jul 2026); 52-week low close US$547.96 (4 Nov 2025)

MARKET VALUE
About US$269bn on 269.3m diluted shares (266.3m outstanding, 30 Jun 2026)

NET CASH, 30 JUN 2026
US$10.3bn: cash US$13.1bn, borrowings US$2.8bn; customer contract liabilities US$39.9bn

ENTERPRISE VALUE
About US$259bn; 43.3x 2026 guide adjusted EBITDA, 23.1x the 2028 outlook

2026 GUIDE (22 JUL 2026)
Revenue US$45.5 to 46.5bn; adjusted EBITDA margin 12 to 14%; free cash flow US$11.5 to 12.5bn

GAS TURBINES UNDER CONTRACT
116 GW at 30 Jun 2026 (53 firm, 63 reserved); at least 125 GW expected by year end

CONSENSUS (STOCKANALYSIS.COM)
EPS US$15.06 2026, US$25.18 2027; average target US$1,230 (37 analysts)

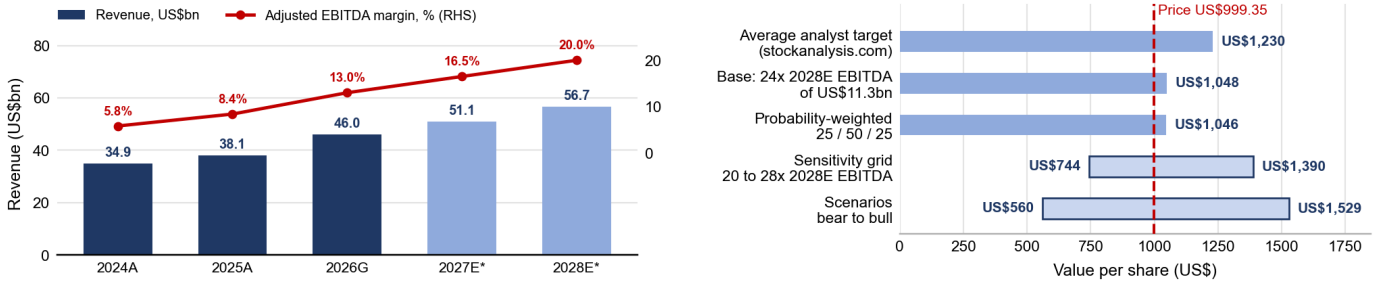
NEXT EVENT
Third quarter 2026 results, 28 October 2026 (confirmed by GE Vernova)

Key financials (calendar years; adjusted EBITDA is GE Vernova's non-GAAP measure)

US$ billion unless stated	2024A	2025A	2026 guide	2027E*	2028E*	2028 outlook
Revenue	34.9	38.1	45.5 to 46.5	51.1	56.7	about 56
Revenue growth (%)		9	21	11	11	
Adjusted EBITDA margin (%)	5.8	8.4	12 to 14	16.5	20.0	20
Adjusted EBITDA	2.0	3.2	6.0†	8.4	11.3	11.2†
Free cash flow	1.7	3.7	11.5 to 12.5			24+ cumulative, 2025 to 2028
EV / adjusted EBITDA at US$999.35 (x)			43.3	30.7	22.8	23.1

**2027E and 2028E are my own estimates, not GE Vernova's. 2024A and 2025A from the fourth quarter 2025 results release of 28 January 2026. 2026 is the guide of 22 July 2026; growth and EBITDA use its midpoints. The 2028 outlook was set on 28 January 2026 with the Prolec GE acquisition. †Derived: revenue x margin. No free cash flow forecast for 2027 and 2028: down payments unwind as turbines ship.*

Two charts: earnings rising to the 2028 outlook, and a valuation that sits around the price



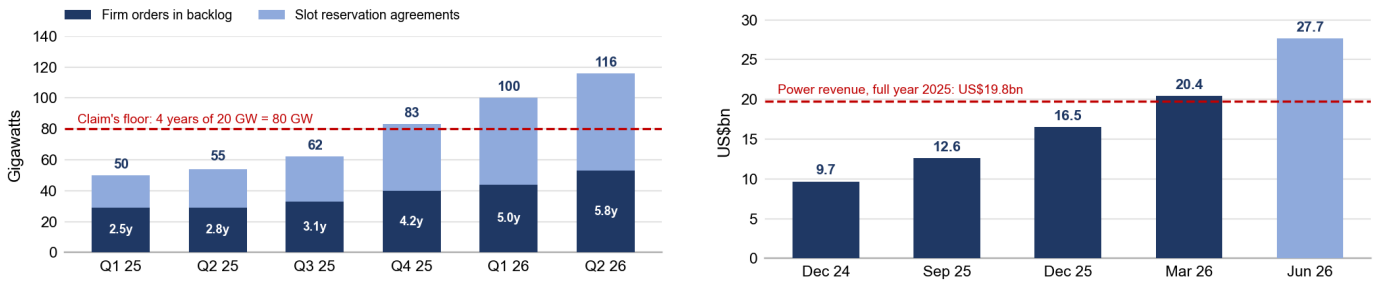
Left: revenue and adjusted EBITDA margin, 2024A to 2028E. 2026G is the guide midpoint; 2027E and 2028E are my estimates. Right: value per share from the base case, the probability-weighted cases, the sensitivity grid and the bear to bull range, against the US$999.35 price (red) and the average analyst target.

The thesis: a workshop sold out for years, with its volume already set

Think of the sofa workshop from the piece. Everyone wants one of its sofas, so it asks for a deposit to hold a delivery week. It spends the deposits on a second sewing machine and longer shifts, not a second workshop. Its order book stays full for years, and it can raise its prices on every new booking. That is a fine business. But its output next year is set by the sewing machines already on the floor, and a buyer gets what those machines can make at the prices already agreed.

GE Vernova is that workshop, at the scale of power stations. At the end of June 2026 it had 116 gigawatts of gas turbines under contract: 53 gigawatts of firm orders and 63 of slot reservation agreements, which are paid holds on future production. It ships about 20 gigawatts a year from the third quarter of 2026, so the queue is almost six years of output. In the first half it signed 41 gigawatts and shipped seven.

The deposits show up where the piece said they would. In Power, the segment that holds Gas Power alongside Nuclear and Hydro Power, contract liabilities and current deferred income reached US$27.7bn at the end of June, up 67% in six months and 2.9 times the US$9.7bn of December 2024. The quarterly filing ties the rise in cash from operations to higher down payments on orders and slot reservation agreements at Power. Customer money held in Power now exceeds the US$19.8bn of revenue Power booked in all of 2025.



Left: gigawatts under contract at quarter end, firm orders and slot reservations; white figures are years of output at 20 GW a year (derived). Q2 25 is 29 + 25, stated by GE Vernova as 55. Right: Power contract liabilities and current deferred income, US$bn. December 2024 and September 2025 are on the segment basis before the January 2026 realignment; the December 2025 figure is the same on both bases. Sources: results releases, 23 April 2025 to 22 July 2026; Form 10-K for 2025; Forms 10-Q, Note 9.

The capacity plan matches the claim too. On the July call the chief executive set out 20 gigawatts a year now, 24 in 2028 and 30 in 2030, from lean methods and new machinery inside the existing factory footprint, all funded by customer down payments. He expects at least 125 gigawatts under contract by the end of 2026, mostly sold out through 2030 and more than half of 2031 sold.

The claim holds on every test it set. The queue sits at 5.8 years against a floor of four. There is no new heavy-duty factory. Deposits are rising and so is price: first half equipment orders were priced more than 20% above those of the fourth quarter of 2025.

The claim's floor does rise. Four years of output is 80 gigawatts today, 96 from 2028 and 120 from 2030. To stay above it in 2030, GE Vernova must keep signing contracts for 2033 and beyond while shipping 30 gigawatts a year. On the July call it said it needs more time before it can say when 2032 will be contracted.

Variant perception: what the market prices in, and where I differ

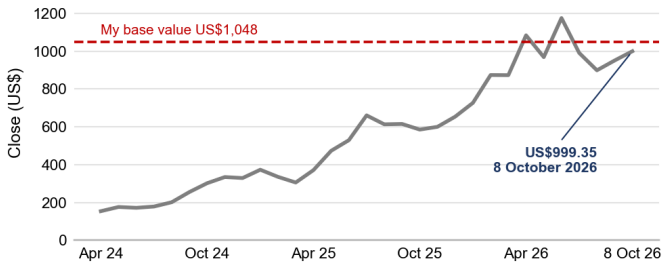
At US$999.35 GE Vernova is worth about US$269bn on its diluted shares. Net cash is about US$10.3bn, so the enterprise value is about US$259bn. That is 43 times the midpoint of its 2026 adjusted EBITDA guide, about US$6.0bn. On stockanalysis.com's forward earnings measure the shares trade at 47.8 times, against a peer median of 24.0 times on the same measure.

The fairer yardstick is the outlook by 2028: revenue of about US$56bn at a 20% margin, or about US$11.2bn of adjusted EBITDA. The shares trade at 23 times that. At my base multiple of 24 times, the price needs 2028 adjusted EBITDA of about US$10.8bn, 96% of the company's own outlook. The market already assumes GE Vernova delivers its 2028 plan. The average target of 37 analysts is US$1,230, 23% above the price. I differ on three points.

The claim caps the volume. If GE Vernova keeps expanding inside its own walls, gas turbine shipments are set: about 20 gigawatts in 2027 and 24 in 2028, with the castings and forgings for the 2028 step arriving in 2027. There is no route to shipping much more before 2029, which is exactly what keeps the queue long. Growth to 2028 comes from price, services, the grid business and the wind recovery, not from more turbines.

The new prices land late. Orders signed this year at higher prices mostly ship in 2029 to 2031, and the chief executive said a heavy-duty unit can then take another 18 months at site to commission. The 2028 outlook was set before most of those prices were agreed, so some upside is real, but most of it shows up beyond the year the market will price by October 2027.

The cash flow is flattered by deposits. The 2026 free cash flow guide of US$11.5 to 12.5bn is about 2 times adjusted EBITDA, because customers pay years before delivery. GE Vernova expects the second half to be well below the first as reservations convert. All its contract liabilities, US$39.9bn, are three times its cash. I value it on EBITDA, not on a 4.5% free cash flow yield that will not repeat.



Date	What happened	Move
28 Jan 2026	Q4 2025 results; outlook by 2028 raised to about US$56bn revenue with Prolec GE	up 2.7%
22 Apr 2026	Q1 results; gigawatts under contract reach 100; 2026 guide raised	up 13.7%
30 Jun 2026	Highest close, US$1,174.86	Peak
22 Jul 2026	Q2 results; 2026 revenue and free cash flow guide raised	down 8.7%
8 Oct 2026	Close of US$999.35, 15% below the highest close	

Left: GE Vernova month-end close, April 2024 to the 8 October 2026 close, against my base value (red). Nasdaq.com historical data, retrieved 9 October 2026. Right: moves on results days, close to close, from the same data.

Valuation, with the working

I value GE Vernova on enterprise value to adjusted EBITDA. Its reported earnings per share swing with one-off gains, such as the US$4.0bn gain on Prolec GE this year, and the company guides on adjusted EBITDA. The horizon is twelve months, to October 2027, when the market will price 2028. Growth of 11% a year carries the 2026 guide midpoint just above the 2028 outlook, which was set before GE Vernova raised its 2026 revenue guide by US$1.5bn. The 2028 margin is the company's own 20%; 2027 sits halfway.

The multiple: 24 times. I use 24 times 2028 adjusted EBITDA for the base case, between Siemens Energy at 22.1 times trailing EBITDA and Eaton at 27.9 times (stockanalysis.com, 9 October). A queue sold into the 2030s deserves no discount to Siemens Energy, but by October 2027 the 2028 figure will be only a year away. I add the net cash of June 2026 and divide by 269.3m diluted shares, with no buybacks assumed. 24 x US$11.34bn + US$10.27bn = US$1,048 a share.

Scenarios: three cases, twelve months out

Case	What happens	2028 revenue	2028 EBITDA	Multiple	Value	Change	Weight
Bear	Gas orders peak, reservations convert slowly; growth 6% a year, margin 16.5% in 2027, 17% in 2028	US$51.7bn	US$8.8bn	16x	US$560	down 44%	25%
Base	Revenue and margin at the 2028 outlook	US$56.7bn	US$11.3bn	24x	US$1,048	up 5%	50%
Bull	Price and services lift margin to 22%; growth 15% a year	US$60.8bn	US$13.4bn	30x	US$1,529	up 53%	25%
Weighted	**25 / 50 / 25**				**about US$1,046**	**up 5%**	

All cases start from the 2026 guide midpoint of US$46.0bn, keep my 16.5% margin for 2027, and add the same net cash over the same diluted shares. The bear multiple is about where Mitsubishi Heavy trades on trailing EBITDA; the bull multiple is what a market convinced the queue runs into the 2030s might pay.

Sensitivity: 2028 adjusted EBITDA against the multiple

2028 EBITDA	20x	24x	28x
US$9.5bn	US$744	US$885	US$1,026
US$11.3bn	US$880	**US$1,048**	US$1,217
US$13.0bn	US$1,003	US$1,197	US$1,390

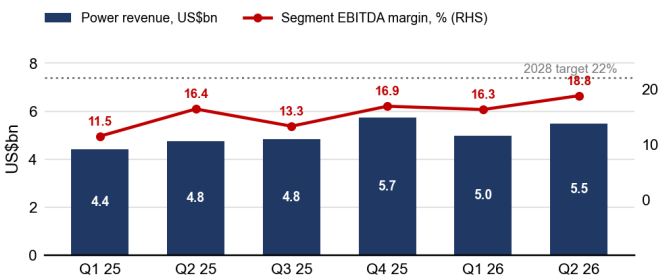
6 of the nine cells sit above the price, but only 3 sit 15% or more above it, and each of those needs a higher multiple or EBITDA above the outlook. Under my rule, a long needs the base value 15% or more above the price and a short needs it 25% or more below. At 5% above, my call is no call.

Peer landscape

Company	Ticker	Forward P/E	EV/EBITDA	What they make
GE Vernova	NYSE: GEV	47.8x	65.5x	Heavy-duty and aeroderivative gas turbines, grid equipment, wind turbines, services
Mitsubishi Heavy	TYO: 7011	29.9x	16.2x	Heavy-duty gas turbines among a wide industrial and defence business
Eaton	NYSE: ETN	28.1x	27.9x	Switchgear, power distribution and data centre electrical equipment
Siemens Energy	ETR: ENR	24.0x	22.1x	Heavy-duty gas turbines, grid technology, wind turbines
Hitachi	TYO: 6501	24.0x	13.6x	Transformers and grid systems through Hitachi Energy, with IT and rail
Schneider Electric	EPA: SU	23.0x	18.4x	Electrical distribution, automation, data centre power and cooling

Forward P/E and trailing EV/EBITDA from stockanalysis.com, retrieved 9 October 2026; peer median 24.0x forward P/E and 18.4x EV/EBITDA. Multiples are used only to set the range for GE Vernova; no view on the peers' shares is expressed.

Power: the segment that holds the queue



Power revenue grew 14% in the second quarter, led by aeroderivative volume and price, and its segment EBITDA margin reached 18.8%, against the 22% GE Vernova targets by 2028. On the July call the chief financial officer said he expects third quarter Power revenue to grow 17 to 19% at a margin of about 17 to 18%, the seasonally lowest quarter for services. Power orders were US$16.7bn in the quarter, three times revenue.

Power revenue and segment EBITDA margin by quarter, as first reported; 2026 is on the segment basis realigned on 1 January 2026. Source: GE Vernova quarterly results releases and the second quarter 2026 earnings call.

Catalysts

When	Event	What I watch
28 October 2026 (confirmed)	Third quarter 2026 results	Gigawatts under contract on the way to at least 125; reservations converting to orders; Power margin against 17 to 18%
Early 2027 (date not announced)	Fourth quarter results and the 2027 guide	Any update to the outlook by 2028; 2026 adjusted EBITDA margin against the 12 to 14% guide
2027	Castings and forgings arrive	On time for the 24 GW output step in 2028
Each quarter	Results and Form 10-Q	Power contract liabilities; whether 2032 slots start to sell; any new heavy-duty factory

Risks: what would hurt the view

Peak orders. On the July call an analyst asked whether 2026 is the peak year for gas turbine orders. GE Vernova expects gigawatts under contract to keep growing through 2027. If they stop growing while it ships 20 gigawatts a year, the queue shrinks and the multiple falls with it. That is most of the bear case.

Reservations are not orders. More than half the queue is slot reservations, which become orders only when a project has a schedule, a gas pipeline and a builder. I could not verify from GE Vernova's own filings how much of each deposit is refundable. A wave of lapsed reservations would test the claim directly.

The output steps. The 24 gigawatt step in 2028 waits on castings and forgings from outside suppliers, due in 2027. A slip delays revenue the 2028 outlook needs.

A new factory. The claim is wrong if GE Vernova announces a new heavy-duty turbine factory. For the shares that would be mixed: more volume later, but a shorter queue and weaker pricing.

Wind. GE Vernova expects Wind to lose about US$400m of segment EBITDA in 2026. Offshore project costs rose in the second quarter and onshore orders in the United States stay soft, so the recovery my growth rates assume may come later.

Competition. Siemens Energy, Mitsubishi Heavy and Ansaldo Energia also build heavy-duty turbines. On the July call the chief executive said that, on his view of heavy-duty capacity across the industry, supply looks very balanced with demand for the next six years, but that he finds it harder to judge how much smaller machines will add.

A new chief financial officer. On 25 August GE Vernova said (Form 8-K) that Kenneth Parks will retire and Claire McDonough, now finance chief of Rivian, becomes chief financial officer on 1 January 2027, ahead of the results that carry the 2027 guide.

What would change my mind

Into a long: a price below about US$910, where my base value would sit 15% above it on unchanged estimates, or GE Vernova raising its 2028 outlook above US$60bn of revenue at a 20% margin. **Towards a short:** a price above about US$1,400, where my base value would sit 25% below it.

The view is wrong if the shares close above US$1,250 or below US$750 in October 2027, or full year 2026 adjusted EBITDA margin lands outside GE Vernova's own 12 to 14 per cent guide, or gigawatts under contract fall below 80 at any quarter end before 2028, four years of the 20 gigawatt output.

Conclusion

The October piece argued that GE Vernova's customers are paying for a place in a queue that will stay years long. Its filings say so: 116 gigawatts under contract, almost six years of output, and US$27.7bn of deposits in Power. But the same choice that keeps the queue long sets the volume to 2028, and the higher prices signed this year mostly arrive after it. At US$999.35 the shares already pay for GE Vernova reaching its own 2028 outlook. My call: NO CALL, medium conviction; base value US$1,048, range US$560 to US$1,529.

Appendix: forecast assumptions

Assumption	2026	2027E	2028E	Basis
Revenue growth	21% (guide midpoint)	11%	11%	Carries the 2026 guide just above the US$56bn 2028 outlook
Adjusted EBITDA margin	13% (guide midpoint)	16.5%	20%	2028 at GE Vernova's own outlook; 2027 halfway
Net cash, US$bn	10.27			30 June 2026, held flat
Diluted shares, m	269.3			30 June 2026 outstanding plus dilutive equivalents; no buybacks
Multiple, EV / 2028 adjusted EBITDA			24x	Between Siemens Energy (22.1x) and Eaton (27.9x), trailing

Full workings, with live formulas, in the accompanying model, 2026-10-09_GEVernova_Model.xlsx.

Sources

GE Vernova quarterly results releases on Form 8-K, Exhibit 99, of 23 April 2025, 23 July 2025, 22 October 2025, 28 January 2026, 22 April 2026 and 22 July 2026, for revenue, adjusted EBITDA, free cash flow, Power results, gigawatts signed, shipped and under contract, the 2026 guide and the outlook by 2028. GE Vernova Form 10-Q for the quarter to 30 June 2026, filed 22 July 2026, for shares, cash, borrowings (Note 14), contract liabilities by segment (Note 9), the cash flow explanation and the Prolec GE gain. GE Vernova Forms 10-Q to 30 September 2025 and 31 March 2026 and Form 10-K for 2025, filed 29 January 2026, for earlier contract liabilities. GE Vernova second quarter 2026 earnings call, 22 July 2026, transcript on gevernova.com, for the output plan, funding, pricing, commissioning times, sold-out comments and the third quarter outlook. GE Vernova Form 8-K of 25 August 2026 on the chief financial officer. GE Vernova investor events page for the 28 October 2026 results date. Share prices from Nasdaq.com historical data; consensus, average target and peer multiples from stockanalysis.com (S&P Global data, updated 1 October 2026) and MarketBeat; all retrieved 9 October 2026. Estimates for 2027 and 2028 are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece of 9 October 2026, thephysicallayer.fyi/journal/ge-vernova-sells-the-wait; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in GE Vernova. Personal research, not investment advice.

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